If the world carried the burden of pre-existing conditions before it was hit by the pandemic, India was no exception. The conventional narrative in that regard tends to focus on issues of finance and trade, with some social and political problems added for good measure. But a truly self-critical assessment of the last quarter century would raise deeper questions about our very understanding of reform and globalization. It is often said that in India, we make the changes we must rather than the changes we should. In other words, we react to the crisis of the moment and slip back into a default position of complacency once that appears addressed. And the truth is that this is pretty much what has happened to us since the early 1990s.

Debates on reform have focussed largely on different aspects of the economy, industry and commerce, which is perhaps natural if we recall that the triggering crisis was one of balance of payments. But the undeniable reality is that large swathes of economic, social and human activity were left untouched. Whether it was agriculture or labour, education or administration, the power of vested interests kept the impulses of further reform well at bay. Our human development indices then naturally did not improve as much as they could have, and requirements of urbanization remained as ineffectively addressed as the demands of rural growth. Not just that, the absence of progress across the social front began to tell increasingly even on the economic one.

This domestic scenario was mirrored by an external strategy that has hardly enhanced India’s competitiveness. In the pursuit of globalization, we have been driven by short-term calculations and tactical gains. India imported to consume, trade and profit rather than to absorb, innovate and produce. The contrast with East Asia could not be starker. The over-leveraging of low-cost options from outside obviously eroded domestic manufacturing. Quite unconsciously, we began to perceive in the efficiencies of others a solution for our own limitations. And with that, the cause of reform remained at a level that was comfortable for the order of the day. If self-assessments remained positive, it was because they were based on benchmarking ourselves against our own past rather than vis-à-vis competitors. By the second decade of this century, these realities have caught up with us. It has led to a growing realization that globalization without a strategy is like driving without a destination. And the true yardstick for reform can only be its impact on comprehensive national power.